DAS COMPETITION CUSTOMER **DISCOVERY**





What is customer discovery and

WHY DOES **IT MATTER**

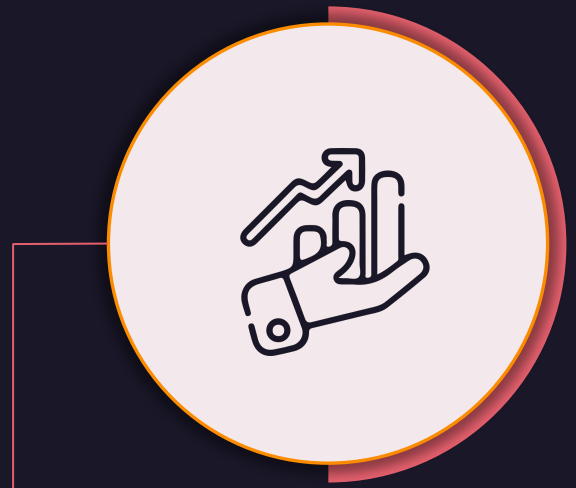
Understanding your customers helps validate your assumptions, refine your value proposition, and find product-market fit.



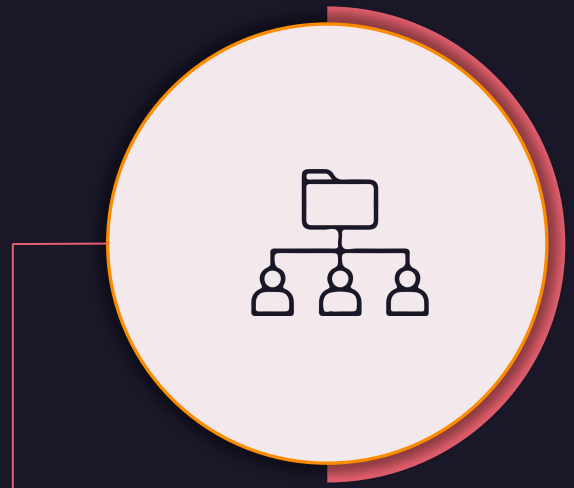
BENEFITS



Minimizes the risk of building products nobody wants.



Increases the likelihood of product-market fit.



Saves time and resources by focusing on high-potential opportunities.

Entrepreneurship

Problem Identification

Customer Discovery is **iterative**

Brainstorming

Design

Prototyping

Business Model



STEP 1

IDENTIFY **CUSTOMERS**

Define your target customer segment(s).

- Consider demographics, psychographics, and buying behavior.
- Create customer personas to develop a clear understanding of your ideal customers.



STEP 2

HYPOTHESIS

- Develop hypotheses about customer problems, needs, and potential solutions.
- Identify key assumptions that need validation.
- State your hypotheses clearly, as they will guide your customer interviews.



STEP 2

FIRST RULES OF **USER RESEARCH**

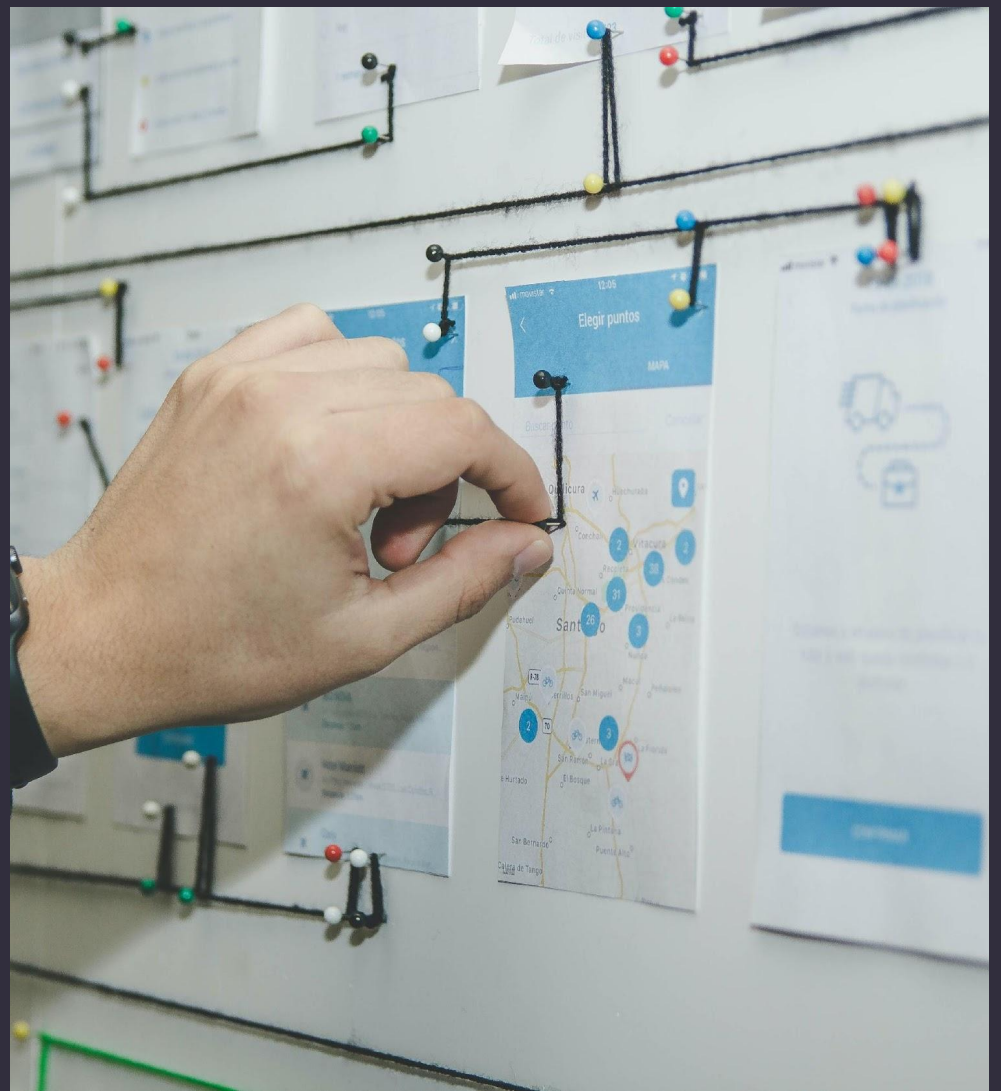
- Don’t talk about your idea (users lie!)



STEP 2

FIRST RULES OF **USER RESEARCH**

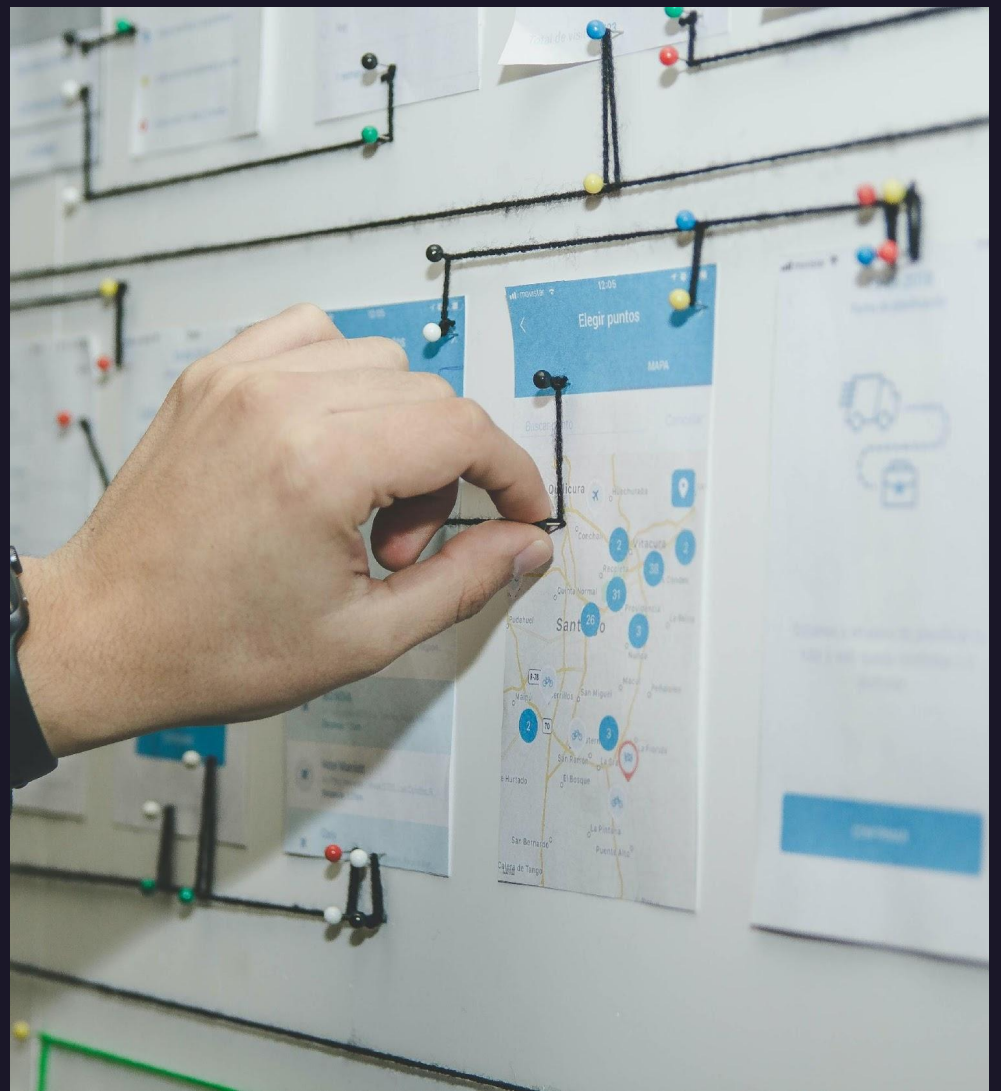
- Don’t talk about your idea (users lie!)
- Ask about the past, not the future



STEP 2

FIRST RULES OF **USER RESEARCH**

- Don’t talk about your idea (users lie!)
- Ask about the past, not the future
- Actively listen more than you talk



STEP 2

FIRST RULES OF **USER RESEARCH**

- Don’t talk about your idea (users lie!)
- Ask about the past, not the future
- Actively listen more than you talk
- WATCH what users do



STEP 3

CUSTOMER INTERVIEWS

- Conduct open-ended interviews.
- Uncover pain points, motivations, and preferences.
- Listen actively and avoid leading or biased questions.
- Aim for a diverse sample to gather a wide range of perspectives.
- Prepare a discussion guide in advance.
- Capture qualitative and quantitative data during the interviews.
- Record interviews (or have someone else take notes)

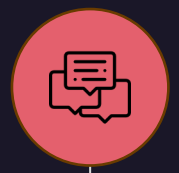


STEP 4

ANALYZE & ITERATE



Analyze the data



Identify gaps between your assumptions and actual customer feedback.



Look for patterns and common pain points.



Iterate and refine your hypotheses based on insights gained.

STEP 5

PIVOT

- Pay attention to negative feedback
- Evaluate whether to pivot or persevere.
- Regularly reassess and adapt based on customer insights.



STEP 6

REFINE VALUE **PROPOSITION**

- Craft a compelling value proposition based on customer insights.
- Highlight how your product solves their pain points and meets their needs.
- Continuously refine your value proposition based on feedback and market dynamics.



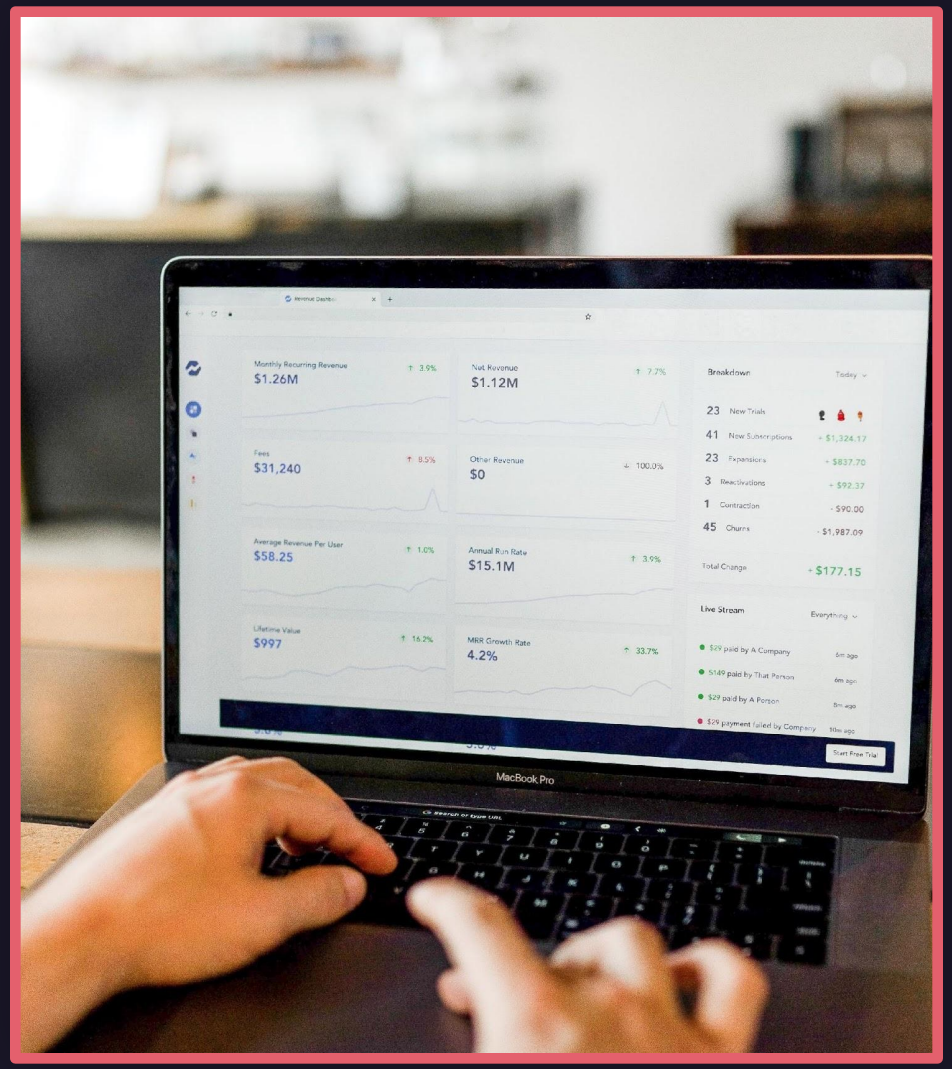
STEP 7

VALIDATE **ASSUMPTIONS**

Continuously validate assumptions through iterative testing and feedback.

Conduct A/B tests, surveys, or beta programs to gather quantitative data.

Leverage qualitative feedback to gain deeper insights.



USER **INTERVIEW TIPS**

- Prepare a list of open-ended questions that will help you to understand the customer needs, problems, and behaviors.
- Identify potential customers who fit the target customer persona and are likely to experience the problem that your product or service will solve.
- Conduct interviews in person or over the phone to note body language and tone.
- Listen actively and take notes.
- Try to learn what problems users have, how they currently try to solve that problem, and how they feel about the solution
- Ask follow-up questions to dig deeper into the customer responses and clarify any ambiguous statements.
- Analyze the data to identify patterns and trends.

INTERVIEW **MISTAKES**

- Talking to friends and family. You want honest, unbiased info.
- Avoid asking leading questions that suggest a particular answer.
- Talking too much
- Failing to prepare a list of open-ended questions and have a clear understanding of the problem you are trying to solve.
- Talking to the wrong people: Talking to the wrong people can lead to inaccurate feedback and insights.
- Ignoring negative feedback: Ignoring negative feedback can lead to a biased understanding of the problem and a flawed solution.
- Talking about or pitching your product/solution





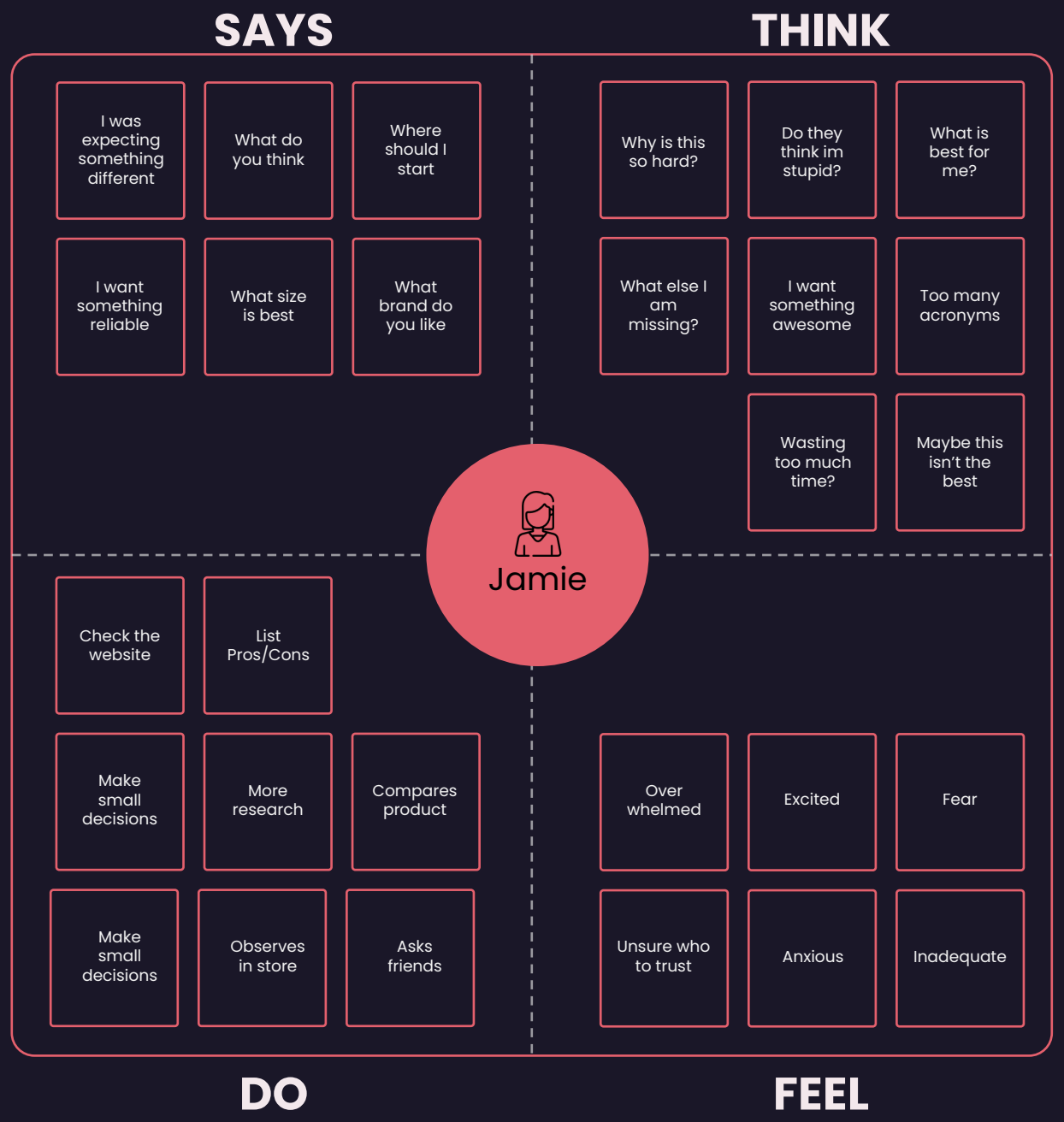
A HELPFUL GUIDE

On how to talk to users

EMPATHY **MAP**

People often do things differently than they think or say without realizing it.

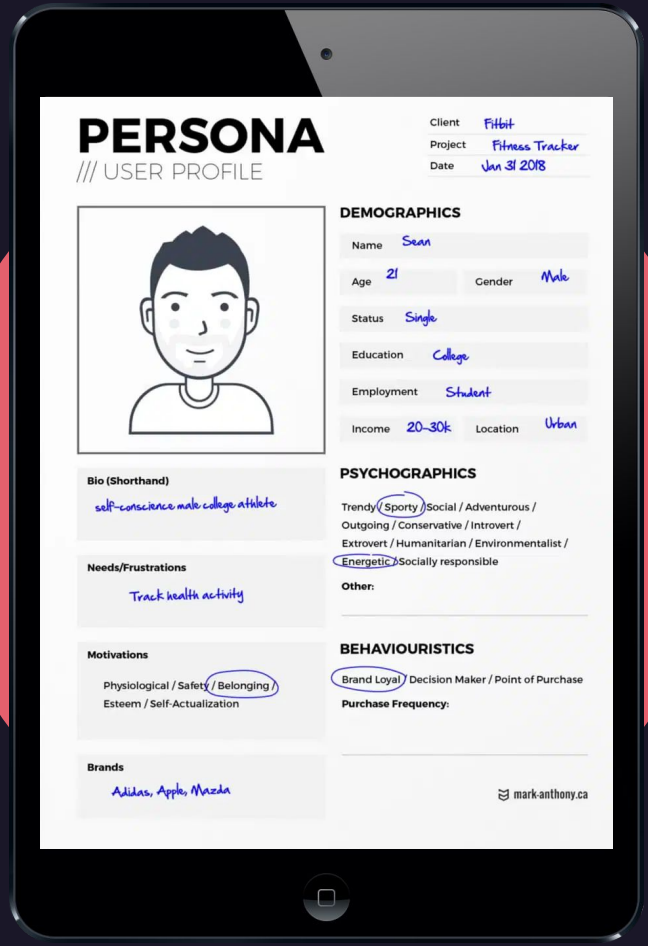
Action is a more important validator than words.



USER **PERSONAS**

- Fictional but accurate representation of your core users, to clarify who is in your target user by answering the following questions:
  - Who are my ideal users/customers?
  - What are the current behavior patterns of my users?
  - What are the needs and goals of my users?
  - What are their frustrations, problems or pain points?

- A persona is based on user research and observed behavior patterns of your target audience.



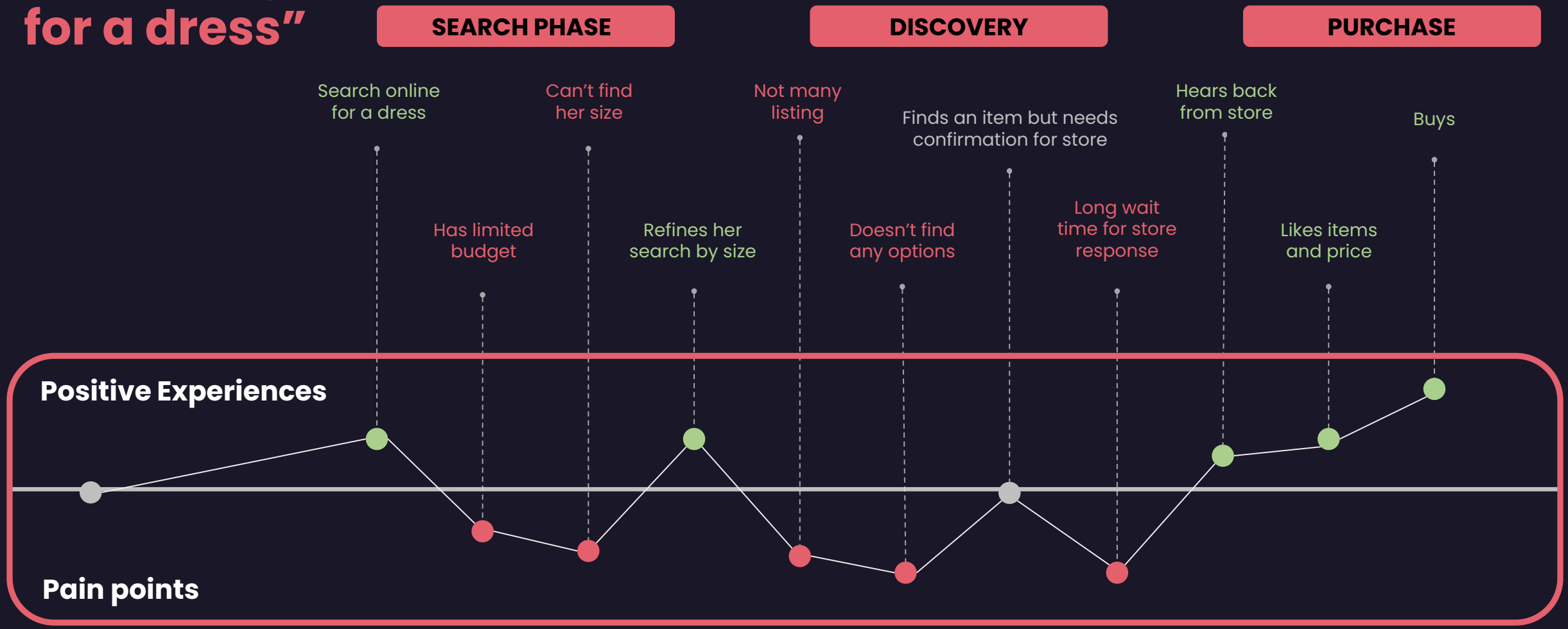
NOTE
your **USER** and your **CUSTOMER** may not be the same people!

You need to understand ALL your Stakeholders

USER JOURNEYS

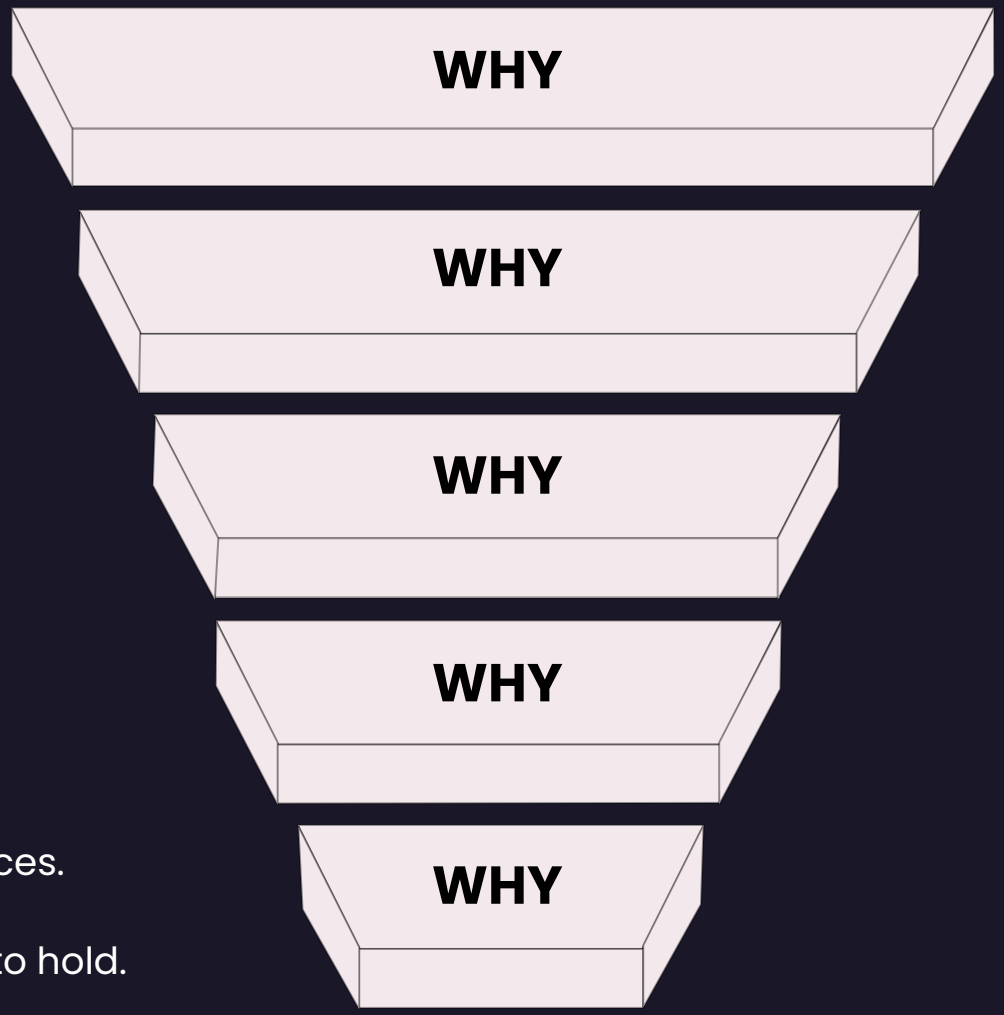
Breaking down a user's experience into steps to identify specific goals, pain points and opportunities

"Shopping for a dress"



5 WHY'S TECHNIQUE

An iterative technique to get beyond initial assumptions and find the root cause of an issue.



EXAMPLE

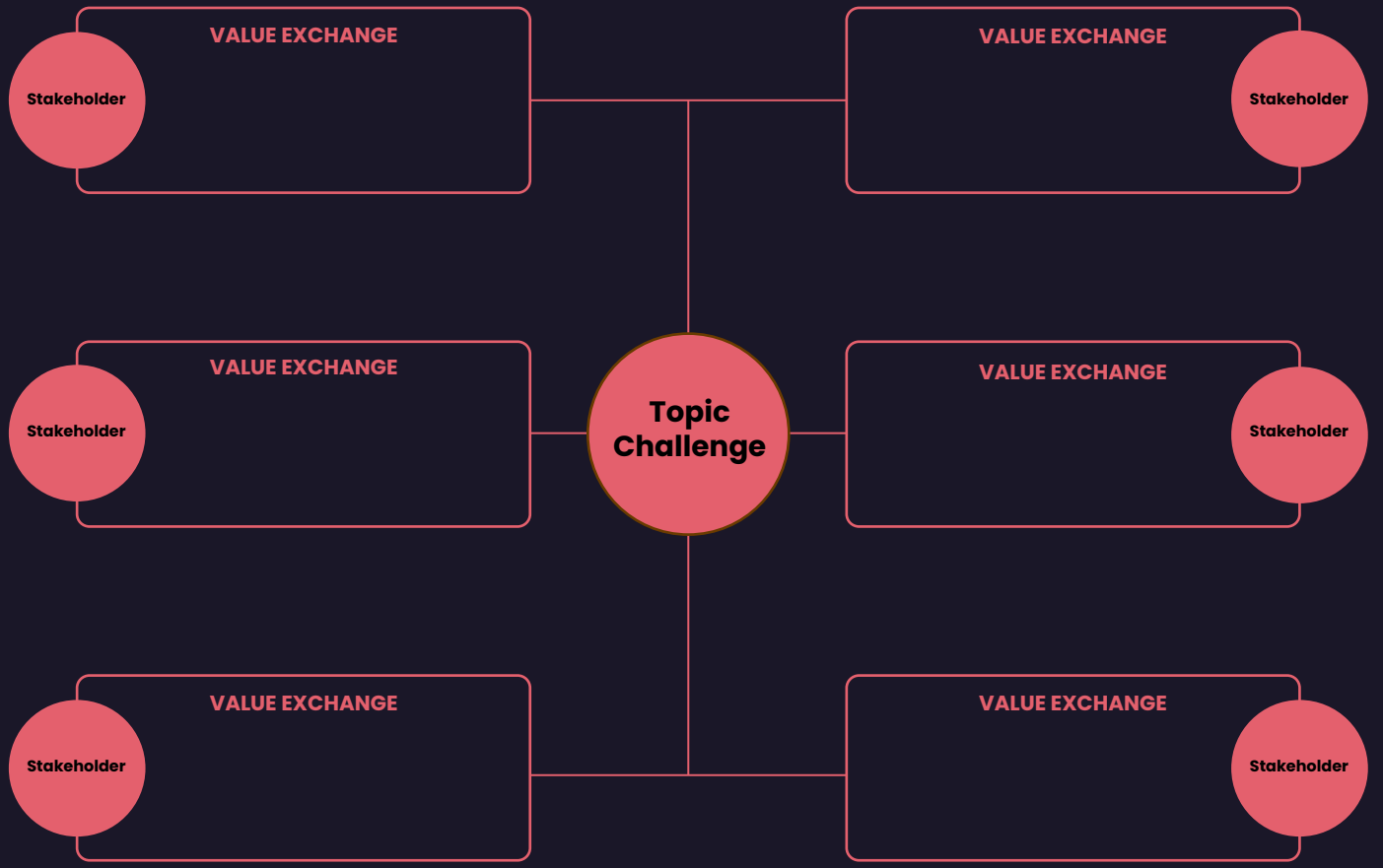
Refugees get cold at night. (the problem)

- **Why?** – Their portable heaters keep failing.
- **Why?** – The power keeps going out.
- **Why?** - The power grid circuitbreakers keep flipping.
- **Why?** – Refugees are hacking outlets to connect too many devices.
- **Why?** – There are more refugees than the camp was designed to hold.

CONSIDER THE BIGGER SYSTEM



Context Maps



Stakeholder / Value Network maps

DAS COMPETITION
RESOURCES





Problem Framing

Who is affected?

Overview

- Identify the people who are affected by this problem and understand their motivations


30 minutes


Paper

Instructions

Your user should be at the center of every step of the innovation process. If the user's needs are not understood and met, any solutions you develop will fail. There are also additional people who can determine the success or failure of a project. It is important to outline the motivations of all people who are affected by your identified problem area, and ensure that you take them into consideration as you frame your problem.

1. List all of your **stakeholders**, or people who are affected by this problem and any potential solution that you come up with. These people can include:
   - **User**: Who is affected by the problem and what are their needs?
   - **Customer**: Who could pay to help you address this problem? This might not be your user.
   - **Communicators**: Who provides the primary communication channel to reach your users / customers?
   - **Distributors**: Who provides the primary physical channel to reach your users / customers?
   - **Competitors**: Who is already trying to address your user's needs?
   - **Local leadership**: What local leaders are key stakeholders in this problem area?
2. Briefly outline the each stakeholder's needs and motivations.

Exploring the needs of every last stakeholder can take a very long time. Instead, it will be helpful to identify your key stakeholders - those who will be able to help you to succeed and those who can create roadblocks to cause you to fail.

Stakeholder	Description	Needs	Motivations
User			
Customer			
Communicators			
Distributors			
Competitors			
Local leadership			
Other			

Problem Framing

User profile

Overview

- Create a composite profile of the typical person who experiences your identified problem

1 hour

Paper

Instructions

It is important that everyone on the team have a clear picture of what this person looks like. To create a realistic profile:

1. Start by **speaking to at least five potential users** in your identified problem area. You want to get them to open up about their lives and share their priorities and their motivations.

   To speak to users, try speaking to other UNLEASH SDG Talents, facilitators, and experts. You can also try reaching out to people in your network or in the network of your fellow UNLEASH SDG Talents, and contacting them by phone, Skype, or Whatsapp. See *Testing: Methods for Answering Questions* for more details.

   When speaking with your users, remember to be sensitive with their time and with what they share. They are an important part of the problem you aim to address, and the more that they share with you, the more likely you will be to create a workable solution that meets their needs. But also make sure that they have realistic expectations. They should know that you are coming in with a good heart, but success is not guaranteed.

   For user interviews, try to let the conversation flow as much as possible. Suppress any of your own personal preconceived notions about the problem, and simply try to record everything that you observe the user do and say. Ask for demonstrations or visual stimuli wherever possible.

   Above is an example interview form.

User ID		Interview	
Willing to follow up?		Date	
Type of user	*Describe in their words*	Location	
Question / prompt	**User statement**	**Interpreted need**	**Weight / importance**

2. **Synthesize their stories into a composite story** that gives a sense of a typical user:
   - Who is this person?
   - How does he / she do things currently? What pain or challenge does he / she face?
   - Why is this important to him / her? What emotions are expressed?
   - What is the timeline of the story?

Problem Framing

Prior attempts

Overview

- Outline what attempts your user has seen to address his / her needs, and why they did or did not work


2 hours


Computer, phone

Instructions

1. Speak to your users about the following points:
   - Has anyone attempted to address their needs before?
   - What did they like about these attempts?
   - What did they dislike about these attempts?

   When asking about attempts to meet your users' needs, be sure to ask about both what the attempt was and how it was implemented.
2. Search the internet to learn about attempts and solutions that have been tried in similar contexts.
3. If possible, contact those teams to see if they can share any lessons learned that could be pertinent to your problem framing. This can be a delicate issue, since the teams may be actively working on this problem and could view your interest in the problem area as potential competition. Focusing on understanding these teams' pain points can be one way to approach more delicate conversations.

Prototyping

User journey diagram

Overview

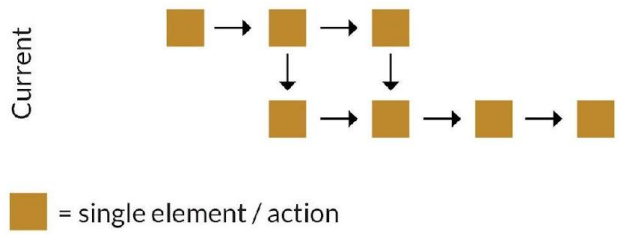
- Draw out the sequential and parallel activities of your user's journey, with and without your solution

30 minutes

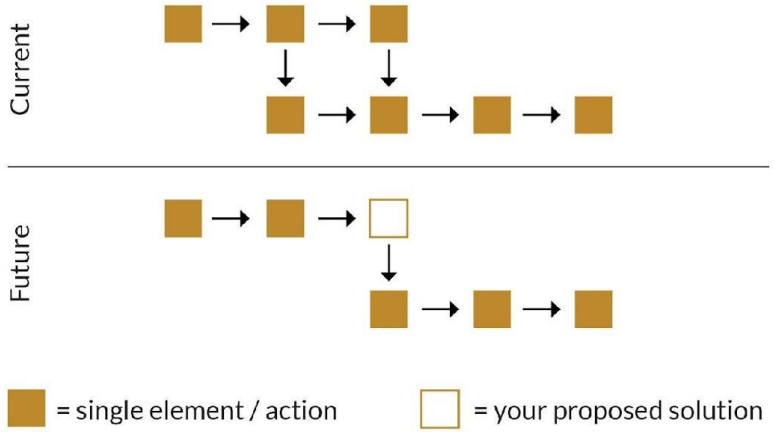
Paper, post-its

Instructions

1. Define where you are starting and stopping your user's journey. The starting and stopping points should be before and after where your solution will interact with the user.
2. Record each element or action in the user's **current** journey on a separate post-it note. These could be things that the user does over the course of a day, or a couple of hours, or while completing a specific activity such as cooking dinner.
3. Place the post-it notes on a piece of paper and connect these activities with arrows, based on how the user interacts with your solution.



4. Repeat steps 2 and 3 for the user's **future journey**, where the user uses your solution.
5. Draw parallels on your diagram to indicate where your solution affects your user's current journey. This will help you identify where exactly your solution affects your user's status quo, and therefore what you need to prototype to have your user test out these changes.



Prototyping

System modeling

Overview

- Map your full solution, including inputs, outputs, and chain of functions in the solution

30 minutes

Paper

Instructions

1. Define the boundaries of your solution, and draw this inside a box.
2. Draw the inputs into your solution (e.g. materials, people, energy).
3. Draw the outputs out of your solution (e.g. modified materials, user behavior change, modified energy).
4. Break down your solution box into a more detailed chain of functions, adding additional inputs and outputs when necessary.



Testing

Who to speak to

Overview

- Make sure that you speak to users, customers, funders, and partners to validate your ideas

Instructions

You want to validate your ideas and get feedback from four key groups of people or organizations who will be critical in successfully implementing your solution. These groups of people include:

- **Users:** People or organizations who are going to use or participate in your solution, and ultimately benefit from it.
- **Customers:** People or organizations who are going to pay for your solution. If your users are directly paying for your solution, then they are also your customers. If your users and customers are different people / organizations, you need to carefully think through how you are aligning the interests of both parties to ensure that the users' needs and wants are being met.
- **Funders:** People or organizations who are going to fund your solution in the initial phases, such as foundations, investors, or corporate sponsors. Your funders are different from your customers in that they are funding the creation and development of your solution and not directly paying for the execution of your solution.
- **Partners:** People or organizations who are going to actively participate in the implementation or execution of your solution. These could be distribution partners, educational or marketing partners, implementing partners, licensing partners, or other types of partners based on the design of your solution. These partners should be critical in the delivery of your solution, in that you will not be able to achieve your impact without them.

For each of the above groups, you need a specific, relevant value proposition. You will then want to validate your idea and value proposition to each group by speaking to actual people.

Testing

Interview methods

Overview

- Different methods for interviewing users and customers to obtain feedback on your prototype



Instructions

Interview

A conversation where the interviewer asks questions to elicit perceptions, opinions, and personal experiences from the interviewee.

- Pros: Can happen anywhere; good for topics that are not context-specific; can be an intimate interaction that builds trust.
- Cons: Dependent on questions that are asked; lack of context.

Tip: Ask the interviewee if you can record the conversation or have another person take notes, so that you can focus on the conversation.

Focus groups

A group session where people discuss their perceptions, opinions, beliefs, and attitudes towards a new solution.

- Pros: Attain more data with fewer resources in less time; leverage collaborative group dynamics for attaining new ideas.
- Cons: Difficult to moderate; group members could bias others

Contextual inquiry

Individuals are observed doing a task in their natural context of use.

- Pros: Can fully understand the environment in which the user operates; can observe unspoken behaviors and relationships.
- Cons: Limited to a single period of time; can be logistically challenging.

Immersion

The researcher becomes the user, adopting their lifestyle and activities for a period of time in order to understand their behavior.

- Pros: Closer to emotional empathy; lots of context; the experience becomes the data.
- Cons: Very time consuming; difficult for group participation, may only reveal one aspect of the story due to time constraints.

Participatory research / co-creation

Considers the user as part of the innovation and design process.

- Pros: Get creative ideas directly from the user; understand user's perceptions of the future and aspirations.
- Cons: Depends on an articulate user; requires developing a framework and vocabulary for users to articulate their experiences.